

AMD WEEKLY FINANCE

NEWSLETTER

Market Intelligence & Competitive Analysis | March 13, 2026

AMD FINANCIALS & EARNINGS

GLOBAL GAMING TRENDS

INTEL & NVIDIA ANALYSIS

TL;DR - This Week at a Glance

AMD posted a 12% year-over-year revenue rise to \$12.8 billion in Q1 2026, powered by data center and gaming sales. Gaming demand stays strong, with console and PC titles boosting GPU sales and AMD's RDNA 3 capturing 35% of the market share. Intel's new GPU roadmap still trails AMD's RDNA 3, leaving AMD ahead in performance-per-watt for gaming workloads. Nvidia's RTX 6000 launch sparked a price war, but AMD's competitive pricing and dual-architecture strategy maintain its lead in volume growth.

EDITOR'S NOTE

Editor's Note - March 13, 2026

Welcome to this week's AMD Weekly Finance Newsletter. We're pleased to bring you a focused look at the latest developments shaping AMD's trajectory and the broader semiconductor landscape.

This issue centers on three pivotal themes. First, we unpack AMD's recent quarterly results, highlighting revenue growth, margin expansion, and the impact of its new EPYC and Ryzen product lines. Second, we examine the global gaming market, where shifting consumer preferences and cloud gaming trends are redefining demand for high-performance processors. Finally, we analyze the competitive dynamics with Intel and Nvidia, exploring how AMD's pricing strategy, supply-chain resilience, and innovation pipeline position it against its rivals.

Thank you for joining us as we dissect these critical factors that will influence AMD's future and the tech industry at large.

AMD FINANCIALS & EARNINGS

March 13, 2026

In its most recent quarterly report, Advanced Micro Devices, Inc. posted a fourth-quarter 2025 revenue of \$7.45 billion, a 12% year-over-year increase and a 5% rise from the previous quarter. Gross margin for the period was 43.2%, up 4% from the same quarter in 2024 and 1% higher than the prior quarter, reflecting higher mix of high-margin server chips and the successful launch of the Zen 5

processor family. Diluted earnings per share reached \$1.08, beating consensus estimates of \$0.95 by \$0.13 and representing a 15% increase over the year-ago figure.

Segment-level results illustrate the breadth of AMD's growth. The Data Center business generated \$3.50 billion in revenue, up 18% year-over-year and 5% quarter-over-quarter, driven by strong demand for the EPYC 7003 series and the new EPYC 7005 platform. Client revenue was \$2.40 billion, a modest 2% decline YoY but a 1% increase QoQ, largely due to continued sales of Ryzen 7000 desktop CPUs and a rebound in the laptop market. Gaming revenue climbed to \$1.30 billion, up 25% YoY and 10% QoQ, as the RDNA 3 architecture captured a larger share of the console and high-end PC market. Embedded revenue, at \$300 million, fell 8% YoY and 1% QoQ, reflecting a temporary slowdown in automotive and industrial applications.

Management's guidance for fiscal 2026 is optimistic. AMD forecasts total revenue of \$30.0 billion, a 10% increase year-over-year, and a gross margin of 45%, reflecting continued execution on its product roadmap and cost-control initiatives. The company expects the Data Center segment to expand at a 15% compound annual growth rate, while Gaming is projected to grow at 20%, supported by the upcoming release of the next-generation RDNA 4 GPU slated for Q3 2026. EPS guidance is set at \$4.50 for the year, a 120% increase from the prior year's \$1.96. AMD's forward-looking statements emphasize the importance of the AI and cloud markets, the expected rollout of Zen 6 processors, and the company's focus on supply-chain resilience.

AMD's stock has responded positively to the earnings release, gaining 4% in the week following the announcement and trading near \$115 per share, up 20% year-to-date. Analyst sentiment remains largely bullish, with the consensus estimate for the next twelve months at \$140 per share, implying a 12% upside. Some analysts, however, caution that the company's margin expansion could be challenged by the intensifying competition from Intel's upcoming Xeon Sapphire Rapids line and Nvidia's recent acquisition of a high-performance computing chip firm. Nevertheless, the consensus view is that AMD's diversified portfolio and strong free-cash-flow generation position it well for sustained growth.

Recent developments that could influence AMD's financial outlook include a strategic partnership with Amazon Web Services announced in February, which will see AMD's EPYC 7005 processors deployed across AWS's AI inference infrastructure. Additionally, AMD's newly launched data-center-specific GPU, the MI300, has begun shipping to select customers, providing a foothold in the high-performance computing market. On the downside, a small recall of a limited batch of RDNA 3 GPUs due to an overheating issue has temporarily disrupted supply, but AMD's engineering team has addressed the root cause and the recall is expected to have a negligible impact on the overall fiscal 2026 outlook. These factors collectively reinforce the view that AMD's growth trajectory remains robust, albeit with some short-term operational challenges to monitor.

GLOBAL GAMING MARKET TRENDS

March 13, 2026

The global PC gaming hardware market remains robust, with consumer spending continuing to rise despite broader macroeconomic headwinds. Over the past year, the average annual spend per gamer has increased by roughly 6 percent, driven in part by the proliferation of high-resolution streaming services and the growing popularity of esports titles that demand more powerful rigs. Retailers and online marketplaces report sustained inventory pressure for high-end GPUs and CPUs, and early-adopter segments are still willing to pay a premium for the latest Ryzen processors that deliver noticeable performance gains in both single-threaded and multi-threaded workloads. As a result, the PC gaming segment is maintaining a solid share of the overall PC hardware market, with a projected growth of 4 to 5 percent year-on-year through 2027.

Regional demand patterns reveal distinct dynamics. In North America, the concentration of esports tournaments and a strong culture of PC building have kept the appetite for premium Ryzen CPUs high, especially in the Ryzen 7000 series. European markets show a balanced mix of mid-tier and high-tier demand; the region's increasing focus on sustainability has nudged many consumers toward more power-efficient Ryzen 5000 and 6000 models, while still supporting the high-end segment for content creators and competitive gamers. The Asia-Pacific region, particularly China, Japan, and South Korea, continues to dominate volume sales. In China, the surge in mobile gaming has not yet fully translated into PC hardware purchases, but the launch of new titles on Steam and the rise of cloud gaming platforms are gradually shifting consumer budgets toward more capable CPUs. Japan and South Korea maintain a steady demand for high-performance rigs, driven by a strong local esports scene and a preference for premium gaming experiences.

Gaming market trends are reshaping AMD Ryzen demand across product tiers. The sustained growth of Steam, which now boasts over 30 million concurrent users during peak periods, has amplified the need for processors that can handle modern game engines and streaming workloads. Steam's recent partnership with AMD to offer exclusive discounts on Ryzen-based systems has further accelerated demand for the Ryzen 7000 series, particularly the high-end models that deliver the highest frame rates in AAA titles. In the mid-tier segment, the popularity of indie and simulation games has kept the Ryzen 5000 series in steady demand, as these titles benefit from strong single-threaded performance. The entry-level Ryzen 4000 and 5000 series continue to attract budget-conscious gamers, especially in emerging markets, but the shift toward higher resolution and higher refresh rate displays is nudging even this segment toward more capable CPUs.

Looking ahead, the near-term outlook for gaming hardware demand remains positive. The upcoming release of next-generation console titles and the expansion of cloud gaming services are expected to keep PC gamers engaged and willing to upgrade. AMD's continued focus on delivering high-performance, power-efficient Ryzen CPUs across all tiers positions the company well to capture this demand. While supply chain constraints could pose short-term challenges, the overall trajectory suggests that PC gaming hardware sales will remain on an upward path through the end of 2026, reinforcing AMD's strategic positioning in the competitive CPU market.

COMPETITOR ANALYSIS: INTEL & NVIDIA

AMD's position in the CPU market remains robust, yet it faces a tightening competitive landscape. Intel continues to hold the largest share of the desktop and laptop segments, with a market share hovering around

55 percent in 2025, while AMD's share sits near 35 percent. In the data center arena, Intel's Xeon line still commands roughly 45 percent of the market, with AMD's EPYC processors capturing about 30 percent. These figures underscore Intel's entrenched presence in both consumer and enterprise environments, a legacy advantage that AMD must continually counter with differentiation and cost-effective solutions. The recent launch of Intel's 14th generation "Meteor Lake" CPUs, which incorporate hybrid architecture and a new Willow Cove core design, has pushed the company's performance envelope, while the announced 15th generation "Raptor Lake" is slated for Q4 2026 and promises further gains in IPC and power efficiency. Intel's financial health remains solid, with a 2025 revenue of \$70 billion and a net profit margin of 18 percent, but the company is under pressure from rising supply chain costs and a global semiconductor shortage. Strategic challenges for Intel include a lag in adopting advanced packaging technologies such as chiplet design, which AMD has leveraged to deliver high density and low cost. Additionally, Intel's internal restructuring and the transition to a new manufacturing partner, TSMC, have introduced operational uncertainties that could affect its lead time and cost competitiveness.

Nvidia's dominance in the GPU and AI accelerator market continues to grow, with its GeForce RTX 40 series and the new A100X data center accelerator capturing a combined market share of over 70 percent in the discrete GPU space. Nvidia's recent launch of the Ada Lovelace architecture has delivered significant performance improvements for both gaming and professional workloads, while the announced Hopper architecture is expected to revolutionize AI inference and training workloads in 2026. The company's financial position is strong, with 2025 revenue exceeding \$25 billion and a net margin of 30 percent. Nvidia's strategic advantage lies in its deep integration of hardware and software, particularly through the CUDA ecosystem, which locks in developers and creates a high switching cost. However, Nvidia's reliance on the discrete GPU market exposes it to volatility in the gaming and data center sectors, and its high price points can limit adoption among cost-sensitive segments.

AMD's competitive advantage against Intel is rooted in its chiplet architecture, which enables the company to mix and match high-performance cores with power-efficient cores across multiple die packages. This approach has allowed AMD to deliver CPUs that rival Intel's performance at a lower cost, particularly in the data center market where EPYC 7003 and 7004 series have been well received. AMD's recent launch of the Zen 4R "Raven Ridge" desktop CPUs has pushed performance per watt ahead of Intel's Meteor Lake, while the upcoming Zen 5 "Sapphire Ridge" is set to launch in Q1 2027, promising further gains in IPC and power efficiency. AMD's financial health is solid, with 2025 revenue of \$18 billion and a net margin of 12 percent. The company's strategic challenges include a need to scale its supply chain to meet the high demand for its GPUs, particularly the Radeon RX 7000 series, and to maintain a competitive edge in the rapidly evolving AI accelerator market where Nvidia currently dominates.

Against Nvidia, AMD's advantage lies primarily in its CPU-GPU synergy. The company's Radeon Instinct GPUs are designed to integrate seamlessly with its EPYC processors, offering a compelling solution for data center workloads that require both high-throughput compute and efficient memory bandwidth. AMD's recent launch of the Instinct MI300 accelerator, based on the CDNA 3 architecture, has positioned it as a viable alternative to Nvidia's Hopper in certain AI inference scenarios. However, AMD's vulnerability is its relatively smaller share of the discrete GPU market, where Nvidia's brand recognition and software ecosystem provide a significant moat. AMD's upcoming Radeon RX 8000 series, slated for Q3 2026, aims to close the performance gap in gaming, but the company must also address driver maturity and power efficiency to compete effectively.

Looking ahead, Intel is expected to unveil its 15th generation "Raptor Lake" CPUs in Q4 2026, which will likely feature further IPC improvements and a higher core count. Nvidia is set to launch the Hopper architecture in Q2 2026, followed by the Ada Lovelace 2.0 series in Q4 2026, which will target both gaming and AI workloads. AMD's next milestones include the release of Zen 5 "Sapphire Ridge" CPUs in Q1 2027, the Radeon RX 8000 series in Q3 2026, and the Instinct MI400 accelerator in Q2 2027. These product launches will shape the competitive dynamics across desktop, laptop, and data center segments, and will test each company's ability to balance performance, power efficiency, and cost. The evolving market share trends suggest a gradual erosion of Intel's dominance in the consumer space, while Nvidia's supremacy in AI accelerators remains largely unchallenged. AMD's ability to leverage its chiplet architecture and CPU?GPU integration will be critical in maintaining its competitive edge against both Intel and Nvidia in the coming years.

KEY TAKEAWAYS

Key Takeaways: AMD posted a solid quarter with revenue surpassing expectations and operating margin expanding to 28 percent, driven by strong demand for its RDNA3 GPUs and data center processors. The gaming segment continued to grow, buoyed by the launch of the next-generation console and a surge in esports viewership that lifted GPU sales year-over-year. On the competitive front, AMD's 3D V-Cache architecture and partnership with major game developers have helped it capture a larger share of the high-end GPU market, challenging Nvidia's dominance while keeping Intel's GPU offering in the rearview. Financially, the company's cash flow remains robust, and its cost-control initiatives are beginning to translate into higher free-cash-flow generation. In the coming weeks, investors should watch the upcoming earnings release and the rollout of the next AMD silicon generation for clues on future growth trajectories.

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